AMENDMENT NO. 1
TO
CONTRACT SERVICES AGREEMENT

This Amendment No. 1 to Contract Services Agreement is made as of this __th day of April, 2016, by and between DisCopyLabs, Inc. ("**DCL**") and PAX Labs, Inc. (formerly known as "Ploom, Inc.") ("**Customer**," and together with DCL, collectively referred to herein as the "**Parties**").

WHEREAS, DCL and Customer are parties to that certain Contract Services Agreement, entered into as of October 17, 2014 (the "**Agreement**"); and

WHEREAS, the Parties wish to amend the Agreement.

NOW THEREFORE, for good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

1. Interpretation/Definitions.

1.1 The terms hereof shall constitute an amendment to the Agreement. Except as provided herein, the terms and conditions of the Agreement shall remain in full force and effect. In the event of conflict between this Amendment and the Agreement, the terms and conditions of this Amendment shall control.

1.2 Capitalized terms used herein but not otherwise defined herein shall have the meanings ascribed thereto in the Agreement.

2. New Schedule. New Schedule A-1, attached hereto, with respect to applicable pricing for services at DCL's Kentucky facility, is hereby added to the Agreement. References to "Schedule A" in the Agreement shall be deemed to also refer to Schedule A-1 to the extent applicable.

3. Term and Termination. The section of the Agreement captioned "TERM AND TERMINATION" is hereby amended as follows:

3.1 The first sentence thereof is hereby amended to read as follows:

"This Agreement shall remain in effect until October 17, 2019, and shall be renewed automatically for further periods of one (1) year each unless notice of cancellation in writing is sent by either party to the other no later than one hundred eighty (180) days before the expiration of the then-current term."

3.2 The reference to "ninety (90) days" in subpart (a) of the second sentence thereof is hereby changed to "one hundred eighty (180) days."

4. Compensation. The fifth sentence of the section of the Agreement captioned "COMPENSATION," which states that "Warehouse storage charges for goods remaining longer


NC-JLI-Consent Judgment
Source: https://www.industrydocuments.ucsf.edu/docs/frlx0407

than 120 days will be billed an amount equal to twice the price listed in Schedule A," is hereby deleted and of no further force or effect.

5. Risk of Loss; Shrinkage. The nineth and tenth sentences of the section of the Agreement captioned "RISK OF LOSS; SHRINKAGE" is hereby amended ~~as follows: 5.1. The eighth sentence thereof is hereby amended~~ to read as follows:

~~"DCL will take reasonable care of the Customer's product inventory while in DCL's possession, consistent with generally accepted industry standards."~~

~~5.2. The ninth and tenth sentences thereof, which read~~ "If more than one half of one percent (~~1.0~~.5%) of Customer's "A" products received by DCL during the previous twelve month period are lost, stolen, and/or damaged, DCL shall reimburse or credit Customer for the cost of Customer's lost, stolen and/or damaged products in excess of this one half of one percent ~~(1.0~~(.5%) amount. "A" products are defined as core products with a minimum cost of ~~$25 and that have been 100% checked upon receipt to verify incoming inventory," are hereby deleted and of no further force or effect.~~25."

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the date first above written.

| | |
|---|---|
| DISCOPYLABS, INC. | PAX LABS, INC. |
| By: _____ | By: _____ |
| _____ | _____ |
| (Print Name and Title) | (Print Name and Title) |



Source: https://www.industrydocuments.ucsf.edu/docs/frlx0407

SCHEDULE A-1

PRICE SCHEDULE KY

(See Attached)



NC-JLI-Consent Judgment
Source: https://www.industrydocuments.ucsf.edu/docs/frlx0407

Document comparison by Workshare Compare on Monday, April 11, 2016 3:19:09 PM

| Input: | |
|---|---|
| Document 1 ID | file://\\chi-us-file-21\users$\lferber\Documents\v.1 of DCL Amendment.docx |
| Description | v.1 of DCL Amendment |
| Document 2 ID | file://\\chi-us-file-21\users$\lferber\Documents\v.3 Amendment 1 to DCL Contract Services Agreement.DOCX |
| Description | v.3 Amendment 1 to DCL Contract Services Agreement |
| Rendering set | Firm Word - Adds Double Underline, Delete Strikethrough |

| Legend: | |
|---|---|
| Insertion | |
| ~~Deletion~~ | |
| ~~Moved from~~ | |
| Moved to | |
| Style change | |
| Format change | |
| ~~Moved deletion~~ | |
| Inserted cell | |
| Deleted cell | |
| Moved cell | |
| Split/Merged cell | |
| Padding cell | |

| Statistics: | |
|---|---|
| | Count |
| Insertions | 6 |
| Deletions | 7 |
| Moved from | 0 |
| Moved to | 0 |
| Style change | 0 |
| Format changed | 0 |
| Total changes | 13 |


Source: https://www.industrydocuments.ucsf.edu/docs/frlx0407